Figure 15.2 Universal Stainless (USAP) Stock Price Chart (1995-2006)

© 2006 Yahoo! Inc. YAHOO! and the YAHOO! logo are trademarks of Yahoo! Inc.

I was attracted to the business right after they acquired their third facility in Dunkirk, New York. All three facilities had some common characteristics when acquired:

1. There were flexible labor agreements.
2. There were no legacy costs (pensions/heath care) or environmental liabilities.
3. Acquisition price was zero or pretty close to it.

Dunkirk was bought for $4 million, but it included inventory and excess assets worth $4 million. In addition, Universal Stainless only paid $1 million in cash and the rest in the form of a 10-year note bearing 5 percent interest. The company effectively got the plant for free. Prior to the Dunkirk acquisition, the company had earned $1.26 per share in 2001 and had a (severely understated) tangible book value of $9.28 per share. Clarence "Mac" McAninch, the CEO of Universal Stainless, was in senior management at Armco Steel when it developed the Dunkirk facility. He was personally very familiar with Dunkirk. Dunkirk, at one point, produced $100 million in revenue and could be scaled up to produce $150 million in